

RESOLUTION NO. _____

ENTITLED: “A RESOLUTION AUTHORIZING THE EXECUTION OF AN OUTSIDE USER WATER SERVICE AGREEMENT BETWEEN THE CHEYENNE BOARD OF PUBLIC UTILITIES AND WYOMING KING GOLD MINING COMPANY, INC., FOR SECTION 36, TOWNSHIP 14 NORTH, RANGE 70 WEST, OF THE 6TH P.M., LARAMIE COUNTY, WYOMING.”

WHEREAS, State of Wyoming is the owner of the real property in Laramie County, Wyoming, more specifically described as:

Section 36, Township 14 North, Range 70 West, of the 6th P.M., Laramie County, Wyoming.

WHEREAS, Wyoming King Gold Mining Company, Inc. (“Gold King”) has leased the above-described property from the State of Wyoming for purposes of developing and operating a copper, gold, and silver mining operation;

WHEREAS, Gold King previously submitted an application to the Cheyenne Board of Public Utilities (“BOPU”) requesting water service outside of the corporate limits of the City of Cheyenne for the leased property;

WHEREAS, pursuant to Resolution No. 3577, adopted by the Governing Body on September 26, 1994, BOPU presented the water service application from Gold King to the Governing Body for review and consideration, and the application was approved on October 24, 2022;

WHEREAS, following that approval, BOPU and Gold King executed an Outside User Water Service Agreement dated February 3, 2023, which identified the proposed water source as new wells to be developed on the Belvoir Ranch;

WHEREAS, because the Governing Bdoy approved the application, BOPU and Gold King Corp executed an Outside User Water Services Agreement, dated February 3, 2023;

WHEREAS, it has since been determined that the Belvoir Ranch wells are not a feasible source of supply, and Gold King has requested to instead receive water service from the Crystal Reservoir and South Crow Pipeline for its proposed mining operations; and

WHEREAS, to accommodate the change in water source, BOPU has reviewed the request and determined that execution of a new Outside User Water Service Agreement identifying the alternative source is necessary and appropriate.

NOW, THEREFORE, BE IT RESOLVED BY THE GOVERNING BODY OF THE CITY OF CHEYENNE, WYOMING, that the Cheyenne Board of Public Utilities and Wyoming King Gold Mining Company, Inc. are hereby authorized to execute a new Outside User Water Service Agreement for water service to the property described as Section 36, Township 14 North, Range

70 West, of the 6th P.M., Laramie County, Wyoming, which agreement shall supersede and replace the February 3, 2023, Outside User Water Service Agreement previously executed between the parties.

PRESENTED, READ AND ADOPTED THIS _____ DAY OF _____,
2025.

Patrick Collins, Mayor

(SEAL)

ATTEST:

Kylie Soden, City Clerk

OUTSIDE WATER USER AGREEMENT BETWEEN GOLD KING CORP. AND THE CITY OF CHEYENNE BOARD OF PUBLIC UTILITIES

Comes Now Gold King Corp. (“GK”), a subsidiary of U.S. Gold Corp., a Nevada Corporation authorized to do business in Wyoming, and the City of Cheyenne Board of Public Utilities (“BOPU”) (GK and BOPU collectively referred to as the “Parties”) and enter into this agreement (“Agreement”).

1. WHEREAS, GK is in the planning stages of building a Gold Mine (“Mine”) near Cheyenne, Wyoming in Sections 25 and 36, T14N, R70W and Sections 30 and 31, T14N, R69W of the 6th P.M., Laramie County, Wyoming that will utilize up to 600 gallons per minute (“gpm”) of water in its mining operations. Prior to commencing mining operations, GK will need to obtain regulatory approvals from various regulatory entities; and
2. WHEREAS City of Cheyenne (“City of Cheyenne” or “City”) owns the surface rights around the Crystal Reservoir and South Crow Reservoir, and Wyoming State Parks leases the land around the Crystal Reservoir as part of the Curt Gowdy State Park. BOPU operates and manages the reservoirs and system which transports raw water from Crystal Reservoir and South Crow Reservoir to the City of Cheyenne, including the South Crow Pipeline; and
3. WHEREAS. GK and BOPU entered into an Outside User Agreement dated February 3, 2023 (“2023 Agreement”).

NOW THEREFORE, in consideration of the mutual promises contained herein and for good and valuable consideration, the Parties agree as follows:

4. GK will purchase up to 600 gpm and BOPU will supply up to 600 gpm to GK (the “Purchase Water”) out of Crystal Reservoir or out of the South Crow Pipeline, subject to the terms and conditions herein. GK acknowledges and accepts that the Purchase Water is untreated, non-potable surface water. **BOPU makes no representation express or implied warranty of any kind relating to water quality or merchantability or fitness of the Purchase Water for a particular purpose. GK accepts the Purchase Water hereunder on an “as is” basis and shall be solely responsible for making all water provided to GK hereunder of sufficient quality to meet any applicable water quality laws and regulations and GK’s needs and intended uses.**
5. GK, at its sole expense, will complete designs and specifications for a tap into the South Crow Pipeline and a connection to the Crystal Reservoir, including an infiltration gallery, pump station(s) and a water service line running to the Mine, passing over City of Cheyenne Land, private land, and land owned by the State of Wyoming, and required metering facilities at both sites (collectively, the “Facilities”). A schematic of the Mine site, Crystal Reservoir, and South Crow Pipeline is attached as Exhibit 1 for general Reference. GK will provide designs and specifications to BOPU for BOPU approval prior to any construction of the Facilities. Upon approval, BOPU shall provide GK with authority to construct the Facilities prior to any construction occurring, to the extent the construction activities are within BOPU jurisdiction. GK will bear the expense related to construction of the Facilities and shall be solely responsible for complying with all legal and regulatory requirements associated with the design and construction

of the Facilities. BOPU shall have no responsibility or liability for the design, construction, maintenance, or operation of any portion of the Facilities, except to the extent specifically identified in this Agreement. BOPU will support GK's request to obtain easements from the City of Cheyenne as needed for construction, maintenance, and operation of the Facilities on City owned property. Once installed, the South Crow Pipeline tap, service line to and including the isolation valve and the water meter will be owned and maintained by BOPU. GK will own and maintain the service line from the isolation valve to the Mine site. GK will own and maintain the service pipeline from the Crystal Reservoir infiltration gallery, including the meter pits, pump station(s), and infiltration gallery, provided that any requirements for placing any portion of the Facilities on City property shall be subject to any conditions in any easement issued for the installation, maintenance and operation of the Facilities. BOPU will own and maintain the meters installed for metering water from the South Crow Pipeline and the Crystal Reservoir Facilities. Upon termination of this Agreement, GK shall, at its sole expense, decommission and remove all Facilities installed on City property and reclaim the property to its original condition, unless otherwise agreed to in writing by BOPU. In lieu of such decommissioning and reclamation, if requested by BOPU in writing and at BOPU's sole election, GK shall transfer ownership of such Facilities or any portions thereof requested by BOPU to BOPU. BOPU shall have continuous access to the meters and to all Facilities installed pursuant to this Agreement.

6. BOPU will allow GK to utilize existing BOPU easements for the construction of the South Crow Pipeline tap, if and to the extent that such easements allow BOPU to grant such access. GK will be solely responsible for obtaining all necessary access approvals, easements and/or rights of way for the water service lines from Crystal Reservoir and from the South Crow Pipeline to the Mine site, and additional access approvals, easements or rights of way necessary to build and utilize a pump house to pump water from the Crystal Reservoir infiltration gallery to the Mine site.

7. Commencing after the issuance of all permits and easements and any other authorizations necessary to begin mining operations, and successful financing of the project, BOPU will supply up to 600 gallons of Purchase Water per minute via metered connection to the South Crow Pipeline or from the Crystal Reservoir infiltration gallery to GK as needed. BOPU shall have sole discretion to determine from which location the Purchase Water will be sourced (Crystal Reservoir or South Crow Pipeline). GK will notify BOPU when purchases will commence at least 30 days in advance of the need for Purchase Water. GK will pay BOPU for the Purchase Water at rates in effect for outside of City raw water (1.5 times the in-City rate) for the volume of Purchase Water GK withdraws from BOPU pipelines or Crystal Reservoir infiltration gallery. GK acknowledges and agrees that such rates may be adjusted from time to time during the term of this Agreement pursuant to BOPU's rate setting processes. BOPU shall bill GK monthly for the volume of Purchase Water withdrawn in the previous month, and all invoices shall be paid by GK within thirty days of receipt of the invoice.

8. The BOPU shall provide all necessary inspections in a timely manner for the construction and installation of the South Crow Pipeline tap, the meter pits, and the infiltration gallery. GK shall provide the BOPU with a certificate of completion and signed affidavit from a contractor licensed in the City, verifying that all construction materials and trade installation of service lines,

valves and meter pits meet BOPU standards and the approved plans. Specific certification shall be given stating that 1) there are no taps off of the Service Line between the water meter and the South Crow Pipeline; 2) that a BOPU water meter has been installed; 3) a backflow prevention device has been installed on the Service Line after the water meter; and (4) that the Service Lines are only servicing GK or its contractors engaged in Mine activities. Inspection fees shall be paid by GK and shall compensate the BOPU at the current inspection fee charged to in-City users. GK will be responsible for the cost of installation of the water meters, but BOPU will pay the cost of the water meters.

9. No private water wells shall be connected to the BOPU water system so long as water service under this Agreement is furnished by the BOPU or its successors.

10. Term and Termination: This Agreement shall be effective ("Effective Date") upon the final signature date by the BOPU and GK. Unless terminated earlier pursuant to the provisions herein, this Agreement shall run and be binding and effective against both Parties to this Agreement through January 1, 2040, provided that BOPU may terminate this Agreement immediately in writing if GK enters voluntary or involuntary bankruptcy, receivership, or other like proceeding, or makes an assignment of this Agreement for the benefit of creditors that does not comply with the requirements of Paragraph 15. J., herein. Termination of this Agreement shall not affect any transfer of title or ownership to BOPU provided for in this Agreement.

BOPU may terminate this Agreement if GK materially breaches any provision of this Agreement and fails to cure such breach within 30 days of being notified in writing by BOPU of the breach, specifying the nature of the breach. If the breach is not cured within such 30-day period following such notice, this Agreement may be terminated by BOPU providing written notice of termination, with termination being effective upon the expiration of the 30-day period or the date of notice of termination, whichever is later.

If GK determines, in its sole discretion, that it cannot perform any obligations under this Agreement for any reason, including but not limited to, failure to obtain all necessary permits for the Mine, inability to obtain reasonable financing for the Mine, inability to construct any of the Facilities, or inability to obtain any necessary easements to the Mine site, GK may terminate this Agreement with 30 days written notice to BOPU. Termination of this Agreement shall not relieve GK of its obligations to pay all sums and perform all obligations required or it under this Agreement up to the date of termination and upon termination.

If any permitting, authorization, or approval from any government agency required for BOPU to perform its obligations hereunder is not granted, cannot be obtained after exercise of reasonable diligence, or is revoked or denied, BOPU may terminate this Agreement with 30 days written notice to GK.

11. Contingent Events:

1. Limitation of water available to the City of Cheyenne from Imported or Exchanged Water Sources:

GK acknowledges that BOPU currently receives a significant portion of its water supply from water exchanges involving the Little Snake River and North Platte River Drainages and that additional exchange arrangements involving these sources may also be entered into by BOPU in the future. The Little Snake River Drainage is part of the Colorado River system, and as a result the availability and the administration of water in the Little Snake Drainage may be affected by interstate compacts, agreements, and other legal requirements touching on the Colorado River system. If BOPU appropriations from the Little Snake Drainage and/or the North Platte Drainage are regulated or limited in a manner that diminishes in whole or in part the amount of water available to BOPU from these sources the Parties shall meet and confer as soon as practicable on the possible effects of such diminution in water supply.

2. Limitation of Water available to City of Cheyenne because of Water Shortages or Regulation:

In the event of a water shortage for any reason, (including but not limited to drought, prior appropriation administration, legal or regulatory restrictions, or a shortage caused by an event under Section 11.1, above), GK's water supply under this Agreement shall be subject to reduction in the same manner as any similarly situated Commercial/Industrial User on BOPU's system, and GK shall undertake conservation measures in accordance with the BOPU Water Shortage plan in effect at the time of the shortage upon notice from the BOPU. BOPU shall have no liability to GK for any reduced water supply to GK caused by a shortage.

12. Supply of Replacement Water: Upon written notice to GK of a shortage of water available to the BOPU or City of Cheyenne, Replacement Water (defined below) may be supplied to BOPU by GK at a location and via a means and manner agreed to by BOPU and GK to avoid, in whole or in part, reductions to GK's water supply. GK shall have the option of supplying additional raw water from alternative sources approved by and consistent with BOPU system operation ("Replacement Water") to the BOPU system and still withdraw up to 600 gallons of water per minute from the South Crow Pipeline or Crystal Reservoir infiltration gallery on a gallon for gallon basis for the amount of replacement water provided by GK to BOPU, up to 600 gallons per minute. If Replacement Water is provided, GK shall be credited for payments made to BOPU on a gallon for gallon basis up to 600 gallons of water per minute at the BOPU's water rate in effect at the time the Replacement Water is supplied to BOPU for each gallon of Replacement Water supplied to the BOPU system, minus any losses. Any costs, expenses, or water charges incurred by GK in obtaining Replacement Water that exceed the BOPU's water rate in effect at the time the Replacement Water is supplied to BOPU shall be the sole responsibility of GK. Any Replacement Water arrangement shall be documented in writing by the Parties, and whether to accept any proposed source of Replacement Water offered by GK shall be at BOPU's sole discretion. A suitability and/or blending study will be required for all replacement water that could be delivered to the Sherard Water Treatment Plant and must be approved by Region 8 EPA.

13. Tap Fee: The Parties agree that GK shall pay a Tap Fee prior to any connection to the South Crow Pipeline and the Crystal Reservoir infiltration gallery. Tap fees cover the cost of the meter, its inspection, and associated administrative time

14. System Development Fee: The Parties agree that GK shall pay a System Development Fee upon any connection to the South Crow Pipeline, the Crystal Reservoir infiltration gallery, and prior to commencement of water purchases or delivery of Purchase Water from the BOPU System. The System Development Fee will be calculated by using the "Large Commercial/Industrial User" Base Demand rate for 600 gallons per minute multiplied by 37.8%. No 1.5 multiplier shall be applied to this calculation based on the temporary usage being supplied to GK and that GK water tap into the BOPU system and the pump station will be abandoned and removed upon completion of mining activities and reclamation, no later than January 1, 2040, or as extended under a mutual agreement. The System Development Fee is being reduced to 37.8% because GK is purchasing raw water and not treated water.

15. General Provisions.

- A. **Termination of 2023 Agreement.** Upon approval of this agreement by BOPU and The City of Cheyenne Governing Body, the 2023 Agreement shall become null and void.
- B. **Entirety of Agreement.** This Agreement, consisting of 10 pages, together with its attachment (Exhibit 1), represents the entire and integrated Agreement between the Parties and supersedes all prior negotiations, representations, and agreements, whether written or oral. The parties acknowledge that all City of Cheyenne Municipal Code Ordinances also apply. In the event of any conflicts between this Agreement and City Ordinances, the City Ordinances shall control.
- C. **Extensions.** Nothing in this Agreement shall be interpreted or deemed to create an expectation that this Agreement will be extended beyond the term described herein.
- D. **Force Majeure.** Neither party shall be liable for failure to perform under this Agreement if such failure to perform arises out of causes beyond the party's reasonable control. Such causes may include, but are not limited to, acts of God or the public enemy, drought, rulings or actions of any governmental body, authority, or commission that result in a reduction in available water supply to BOPU, equipment or infrastructure failures, malfunctions or breakages, or any other similar cause, fires, floods, epidemics, quarantine restrictions, freight embargoes, and unusually severe weather. This provision shall become effective only if the party failing to perform immediately notifies the other party of the extent and nature of the problem, limits delay in performance to that required by the event and takes all reasonable steps to minimize delays.
- E. **Notices.** All notices arising out of, or from, the provisions of this Agreement shall be in writing either by certified mail or delivery in person at the addresses provided under this Agreement.

- F. **Notice of Sale or Transfer.** No assignment of this Agreement in whole or in part by GK shall become effective without the written consent of BOPU being first obtained. Notwithstanding the foregoing, any entity with which GK may consolidate, or into which it may merge, or to which it may convey or transfer substantially all of its assets, shall not require consent or approval by BOPU but notice of such occurrence shall be provided to BOPU. Notice shall be provided in accordance with the notice provisions of this Agreement. Where consent to such assignment is required, such notice shall be provided in advance of the transaction. Where consent is not required, when possible and lawful, notice shall be provided in advance of the transaction. Where consent is required, if BOPU determines in good faith that the proposed assignment is not consistent with the continued satisfactory performance of GK's obligations under this Agreement, then BOPU may, at its discretion, terminate or renegotiate the Agreement. BOPU must notify GK of its intent to terminate or renegotiate the agreement within 60 days of the notice provided by GK pursuant to this paragraph.

In the event this Agreement is transferred, then BOPU will require a new outside user water services agreement that must be approved by the BOPU Board and the City of Cheyenne Governing Body, pursuant to WYO. STAT. §15-7-404 (a) and Title 13 of the Cheyenne City Code. In the absence of such approval, this Agreement shall terminate.

- G. **Sovereign Immunity and Limitations.** Pursuant to Wyo. Stat. § 1-39-104(a), the BOPU and the City of Cheyenne expressly reserve sovereign immunity by entering into this Agreement and specifically retain all immunities and defenses available to them as sovereigns. The BOPU and the City of Cheyenne are governmental entities as defined by W.S. §1-39-101. By entering into this Agreement, the BOPU and the City of Cheyenne reserve all immunity provided for by said Act. The parties agree that any ambiguity in this Agreement shall not be strictly construed, either against or for either party, except that any ambiguity as to sovereign immunity shall be construed in favor of sovereign immunity.
- H. **Indemnification.** GK shall indemnify and hold harmless the BOPU and the City of Cheyenne, their officers, agents, employees and representatives from any claim or liability arising out of the failure to comply with the terms and conditions of this Agreement. GK is solely liable for the control, carriage, distribution, and use of the water from and after the point at which water is diverted from Crystal Reservoir or the South Crow Pipeline and shall indemnify BOPU and the City of Cheyenne, their officers, agents, employees and representatives, from and against any claim for damage to person or property, direct or indirect, and for any violations, fines, penalties, regulatory requirements and for environmental remediation and mitigation measures of whatever nature, arising out of or connected with the construction of infrastructure and the use of the water by GK.

- I. **Third-Party Rights.** The Parties do not intend to create in any other individual or entity the status of third-party beneficiary, and this Agreement shall not be construed so as to create such status. The rights, duties and obligations contained in this Agreement shall operate only between the Parties to this Agreement, and their successors and assigns, and shall inure solely to the benefit of the Parties to this Agreement and their successors and assigns. The Parties to this Agreement intend and expressly agree that only the Parties, and their successors and assigns, shall have any legal or equitable right to seek to enforce this Agreement, to seek any remedy arising out of a party's performance or failure to perform any term or condition of this Agreement, or to bring action for breach of this Agreement. Nothing in this sub-paragraph 15. I. shall be interpreted to modify or waive any provision of sub-paragraph 15. G. relating to sovereign immunity.
- J. **Collateral Assignment.** Notwithstanding anything herein to the contrary, GK may collaterally assign its rights and obligations under this Agreement in connection with any financing arrangement obtained in connection with the Mine, *provided* that any counterparty to such financing arrangements agrees to be bound by the terms of this agreement to which GK is a party. Notwithstanding this provision, GK shall not allow any lien or encumbrance to be placed on wells, pipelines, facilities, or appurtenances constructed by GK for the benefit of BOPU under this Agreement.
- K. **Time is of the Essence.** Time is of the essence in all provisions of this Agreement.
- L. **Titles Not Controlling.** Titles of sections and subsections are for reference only and shall not be used to construe the language in this Agreement.
- M. **Waiver.** The waiver of any breach of any term or condition in this Agreement shall not be deemed a waiver of any prior or subsequent breach. Failure to object to a breach shall not constitute a waiver.
- N. **Counterparts.** This Agreement may be executed in counterparts. Each counterpart, when executed and delivered, shall be deemed an original and all counterparts together shall constitute one and the same Agreement. Delivery by the GK of an originally signed counterpart of this Agreement by facsimile or PDF shall be followed up immediately by delivery of the originally signed counterpart to BOPU. GK's failure to deliver, either personally or via US Mail, postage prepaid, the originally signed counterpart to BOPU within five (5) business days shall be considered a material breach of this Agreement.
- O. **Venue and Jurisdiction.** Any dispute between the parties arising pursuant to this Agreement shall be brought in the First Judicial District Court, Laramie County, Wyoming. The laws of the State of Wyoming govern the interpretation and enforcement of this Agreement.
- P. **Notices.** Notices to or by the parties shall be given by registered or certified mail,

return receipt requested, and shall be effective as of the date of receipt thereof, addressed as follows:

Gold King Corp.
1807 Capital Avenue
Cheyenne, WY 82001

City of Cheyenne Board of Public Utilities
2416 Snyder Avenue
Cheyenne, WY 82001

16. Signatures: The parties to this Agreement, either personally or through their duly authorized representatives, have executed this Agreement on the dates set out below, and certify that they have read, understood, and agreed to the terms and conditions of this Agreement.

17. Severability: In the event that any provision of this Agreement (or portion thereof) is determined by a court of competent jurisdiction to be invalid or otherwise unenforceable, such provision (or part thereof) shall be enforced to the extent possible consistent within the stated intention of the Parties, or if incapable of such enforcement, the invalid or otherwise unenforceable provision shall be replaced with a valid and enforceable provision that most closely reflects the original intent of the Parties, and the remainder of this Agreement shall continue in full force and remain in effect according to its stated terms and conditions.

18. Modification of Agreement: This Agreement may be modified at the discretion of the Parties by their mutual agreement only in writing signed by the Parties.

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GOLD KING CORP.

George Bee, Chief Executive Officer and President

Date

STATE OF UTAH)
) ss.
COUNTY OF SUMMIT)

Before me, a Notary Public in and for the state and county aforesaid, personally appeared George Bee, with whom I am personally acquainted, and who, upon oath, acknowledged that he/she is the Chief Executive Office and President of Gold King Corp., and that he/she executed the foregoing instrument for the purposes therein contained, by signing his/her name as such officer.

Witness my hand and official seal at office in the state and county aforesaid, this _____ day of _____, 20__.

Notary Public

My commission expires: _____

CHEYENNE BOARD OF PUBLIC UTILITIES

Bradley A Brooks, Director

Date

STATE OF WYOMING)
) ss.
COUNTY LARAMIE)

Before me, a Notary Public in and for the state and county aforesaid, personally appeared Bradley A Brooks, with whom I am personally acquainted, and who, upon oath, acknowledged that he/she is the Director of the City of Cheyenne Board of Public Utilities, and that he/she executed the foregoing instrument for the purposes therein contained, by signing his/her name as such officer.

Witness my hand and official seal at office in the state and county aforesaid, this _____ day of _____, 20__.

Notary Public

My commission expires: _____

